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13	Provision for discount on debtors	Profit & Loss A/c Dr. To Provision for discount on debtors A/c	Shown on the debit side of profit and loss A/c.	Shown on the assets side as a deduction from sundry debtors.
14	Income tax paid	Drawings A/c Dr. To Bank A/c	Shown on the liabilities side as a deduction from capital.	Shown on the assets side as a deduction from bank balance.
15	Manager's commission	Manager's commission A/c Dr. To Outstanding manager's commission A/c	Shown on the debit side of profit and loss A/c.	Shown on the liabilities side as a current liability.

13.4 Final accounts with adjustments

Illustration 9

Prepare trading account from the following ledger balances presented by P. Sen as on 31st March, 2016.

Particulars	`	Particulars	`
Stock (1-4-2015)	10,000	Sales	3,00,000
Purchases	1,60,000	Returns inward	16,000
Wages	30,000	Returns outward	10,000
Carriage inwards	10,000	Gas and Fuel	8,000
Freight inwards	8,000		

Additional information:

(a) Stock on 31st March, 2016 ` 20,000

(b) Outstanding wages amounted to ` 4,000

(c) Gas and fuel was paid in advance for ` 1,000

Solution

Dr. Trading account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Opening Stock		10,000	By Sales	3,00,000	
To Purchases	1,60,000		Less: Returns inward	16,000	2,84,000
Less: Returns outward	10,000	1,50,000	By Closing Stock		20,000
To Wages	30,000				
Add: Outstanding	4,000	34,000			
To Carriage inwards		10,000			
To Freight inwards		8,000			
To Gas and fuel	8,000				
Less: Prepaid	1,000	7,000			
To Gross profit c/d		**85,000**			
		3,04,000			3,04,000